Submetering Operating Benchmark

Two-page benchmark brief | Analysis date: July 18, 2026 | Energy Assets, ista, Techem, Smart Metering Systems, Calisen, and CARMA

SUBVERTICAL THESIS

Submetering contains two different core cash models. Building submetering and billing platforms such as ista and Techem install relatively low-cost devices and monetize recurring billing, data, and compliance workflows; CARMA is a lower-disclosure reference. Meter-asset owners such as Calisen and Smart Metering Systems finance larger utility meters and earn rental and data income over long asset lives. Energy Assets is a mixed metering, data, network, and installation platform. The first model has mid-single-digit growth, high-40s EBITDA margins, moderate reinvestment, and strong conversion. The second can report higher EBITDA, but replacement capital and longer payback materially reduce its cash economics.

METRIC	BENCHMARK RANGE	WHY THE ASSERTION MAKES SENSE	STRONGEST SUPPORT / CAVEAT
Revenue growth	**Subvertical reference: 4% / 6% / 9% low-central-high; broader observed range 3%-12%.**	Building platforms grow through indexation, digital refresh, penetration, and data upsell. Meter-asset growth can accelerate with funded rollout, but acquisitions and rollout effects are not normalized organic growth.	ista grew sales about 5.2% in 2025; Techem submetering rose from EUR933.5 million to EUR1,041.5 million. Calisen growth included installation and acquisition; SMS FY2022 ILARR grew 13%. **Confidence: Medium**
EBITDA margin	**Subvertical reference: 33% / 47% / 72%; broader observed range 18%-76%.**	Dense billing/data estates have low marginal cost. Asset owners look richer because depreciation and replacement capital sit below EBITDA; service-led and mixed platforms sit lower.	Techem reported EUR557 million EBITDA on EUR1.17 billion 2025 revenue; ista evidence supports 40%+. Calisen reported 74.1% in 2023; SMS reported about 47.1% in FY2022. **Confidence: Medium**
Maintenance capex / revenue	**Subvertical reference: 8% / 12% / 35%; broader observed range 6%-45%.**	Building platforms replace cheaper devices, batteries, communications, and IT. Utility-facing owners must replace expensive funded meter estates, making asset intensity the key structural divide.	ista reported EUR260 million total 2025 investment. Calisen disclosed GBP355.5 million 2023 capex, GBP219 per smart meter, and GBP144.8 million meter depreciation; clean sustaining splits are unavailable. **Confidence: Medium-Low**
Post-maintenance capex conversion	**Subvertical reference: 61% / 78% / 82%; broader observed range 24%-87%.**	Billing/data platforms convert well after device refresh. Asset owners reserve much more EBITDA for replacement, so high reported margins can yield only roughly 50% conversion.	Derived as (EBITDA - maintenance capex) / EBITDA. Central company cases: ista 78%, Techem 82%, SMS 47%, Calisen 51%. This is not full free-cash-flow conversion. **Confidence: Medium-Low because sustaining capex is derived**
Initial contract tenor	**Subvertical reference: 5 / 7 / 8 years; broader observed range month-to-month to 10 years.**	Building awards need term to amortize installation. Utility-meter economics may rely on supplier frameworks and removal compensation, so legal form can be far shorter than asset life.	CARMA has long-term, inflation-protected contracts; ista and Techem publish no standard term. Calisen treats retailer orders as month-to-month although income can survive supplier switching. **Confidence: Low-Medium**
Effective customer tenure	**Subvertical reference: 8 / 14 / 18 years; broader observed range 5-20 years.**	Installation, billing history, data migration, and low switching salience extend building tenure. Utility meters can keep earning across supplier changes until physical removal.	ista manages 45 million-plus devices; Techem has roughly 62-70 million. Calisen models arrangements around 15 years and reviewed smart-meter lives at 10-20 years. **Confidence: Medium**
Utilization exposure	**Subvertical reference: Low / Low-Moderate / Moderate; broader observed range Low-High.**	Installed meters normally earn regardless of daily consumption. Exposure rises when installation teams, field service, and funded rollout pipelines must remain productive or meters are removed.	ista, Techem, and CARMA monetize installed units and billing. SMS and Calisen also depend on installation pace and supplier programs, although deployed estates remain sticky. **Confidence: Medium**
New-unit / customer payback	**Subvertical reference: 3.0 / 4.5 / 6.5 years; broader observed range 2.0-8.5 years.**	Cheaper suite devices plus billing/data yield roughly three-to-five-year payback. Funded utility meters pair higher installed cost with modest annual rent, extending payback.	Calisen disclosed GBP219 capex per meter and GBP23.8 ARPM. SMS expected 2.17 million pipeline meters to add about GBP50 million ILARR, or roughly GBP23 annually each. **Confidence: Medium-Low**
B2B vs B2C	**Subvertical reference: B2B contract with residential end users / B2B contract with residential end users / predominantly B2B.**	Owners and managers buy building submetering while residents consume and may receive bills. Suppliers procure funded utility meters; households are users, not core customers.	ista has 460,000-plus customers against 14 million-plus units; Techem and CARMA market to buildings. SMS and Calisen contract with energy suppliers and retailers. **Confidence: High**

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HOW TO READ THE UNIVERSE

The six companies span three categories: core building submetering and billing, capital-heavy meter-asset ownership, and a mixed metering/data/network platform. The profiles below use the unit that drives revenue and highlight why similar recurring-revenue labels conceal different field-service, replacement-capital, and contract economics.

Energy Assets

What it does. UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform; customers need compliant metering, data, and field service.
Economic model. Unit: installed asset with attached data/service. Revenue mixes recurring fees with installation and maintenance. Integrated workflows aid retention; project exposure and segment contamination weaken comparability. Capital supports meters, communications, IT, and vehicles.
Evidence bridge. More than 1.5 million managed assets. Clean segment revenue, EBITDA, capex, churn, and terms are unavailable; central 5% growth, 23% EBITDA, and 9% maintenance capex are Low-confidence inferences.

ista

What it does. European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability workflows to owners and managers.
Economic model. Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching. Capital refreshes devices, batteries, communications, and digital infrastructure.
Evidence bridge. 45 million-plus devices, 14 million-plus units, 460,000-plus customers, EUR1,279 million 2025 sales, and EUR260 million investment. Central: 6% growth, 45% EBITDA, 10% maintenance capex, 14-year tenure, four-year payback.

Techem

What it does. European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for owners and managers.
Economic model. Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting.
Evidence bridge. 13 million-plus dwellings, 62-70 million devices; 2025 submetering revenue EUR1,041.5 million and group EBITDA EUR557 million. Central: 6% growth, 49% EBITDA, 9% maintenance capex, 15-year tenure, 3.5-year payback.

Smart Metering Systems

What it does. UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded.
Economic model. Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.
Evidence bridge. Combined group: 6 million-plus meters in 2025. Clean FY2022 base: 2.1 million meters, GBP97.1 million ILARR, GBP63.8 million EBITDA on GBP135.5 million revenue. Central 5.5-year payback; sustaining capex is Medium-Low confidence.

Calisen

What it does. UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other transition activities.
Economic model. Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics. High EBITDA requires heavy replacement capital.
Evidence bridge. 2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million capex, GBP219 meter capex, GBP23.8 ARPM. Central: 72% EBITDA, 35% maintenance capex, 15-year tenure, 6.5-year payback.

CARMA

What it does. Canadian suite-level metering and billing platform helping owners and managers allocate utilities, provide consumption visibility, and administer resident accounts.
Economic model. Unit: contracted metered suite. Devices, data, billing, and move workflows deter switching; property decisions or service failures cause churn. Capital funds meters, communications, IT, and reinstallation.
Evidence bridge. 135,000-plus units in 1,000-plus buildings across four provinces; long-term inflation-protected contracts and 11 million-plus daily reads. Revenue, EBITDA, capex, and churn are unavailable. Central: 9% growth, 33% EBITDA, 12-year tenure, 4.5-year payback; mostly Low-Medium confidence.

KEY DILIGENCE QUESTIONS

Obtain clean metering-segment financials for Energy Assets and CARMA; both materially widen the observed range but have the weakest disclosure. | Separate rollout and acquisition capex from true estate replacement at Smart Metering Systems and Calisen, including communications refresh and removal or reinstallation costs. | Confirm standard contract terms, renewal cohorts, and churn for ista and Techem; legal terms are inferred even though the retention mechanism is well supported. | Test whether digitalization capex currently described as growth is economically required to preserve existing billing and data revenue.